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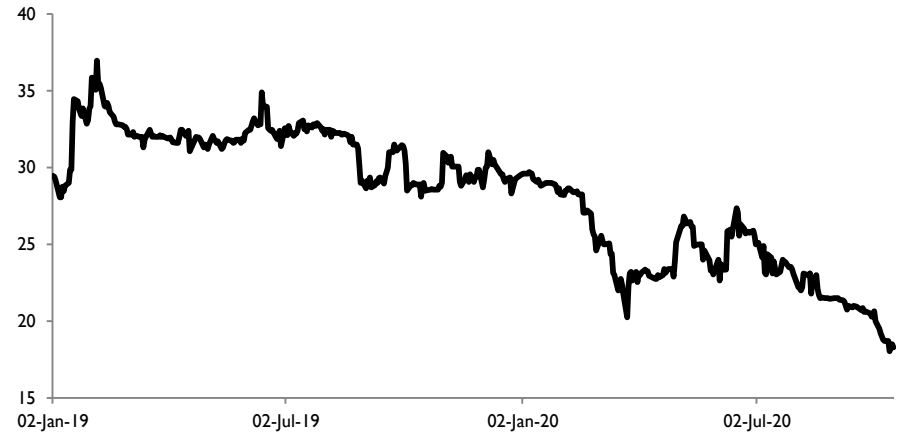
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Centum: The Road so Far

We issue a BUY recommendation on Centum with a fair value KES 38.95. The company is currently selling at a huge discount to its Net asset value.

Graph 1: Price trend



Source: AIB-AXYS Research, Company Fillings

- **COVID-19 pandemic expected to negatively affect earnings**: The measures taken by governments to curb the spread of the COVID-19 pandemic are likely to affect Centum's portfolio companies. Earnings for most companies in the private equity portfolio are likely to decrease while Real estate is likely to be affected by the slowdown in economic activity.

- **Opportunity to grow the private equity portfolio:** The size of the private equity portfolio has decreased due to recent exits which have helped shore-up Centum cash position. The current environment offers an opportunity for Centum to increase its PE portfolio by acquiring companies at relatively attractive multiples. However, in the short-term, the performance of the PE portfolio is likely to be affected by reduced dividends and profitability as portfolio companies struggle due to the economic effects of the COVID-19 pandemic.

- **Real estate a key driver of growth**: The sale of a number of its business and revaluation gains in its property portfolio has reduced the size of the private equity portfolio relative to that of the real estate portfolio. The slowdown in the Real estate sector is expected to reduce the value of Centum's property portfolio. However, this sector will be a key source of revenue as the company monetizes current projects. The pre-sold units are likely to provide a steady stream of income which could replace some of the lost dividend income.

November 18 2020

Centum

Current Price	16.15
Fair Value	38.95
EPS	7.41
DPS	1.20
Latest Financials	FY20
52 Week high	37.40
52 Week low	16.15

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Key investment drivers:

- **Diversified sources of income:** The group has exposure to a number of sectors that have grown rapidly.
- **Improving cash position:** Over the past two years, Centum has sold a number of its key investment holdings thereby improving the company's cash position
- **Agribusiness sector:** The business has performed well since its introduction in 2017. There is a potential to grow this business by exploring other markets
- **Interest cap removal:** Sidian bank had previously been affected by the introduction of interest rate cap. The bank turned profitable last year following the removal of interest rate caps. Although the business is likely to be affected by increased provisions this year, it is likely to return to profitability next year once things normalize.
- **Income from property sales:** In FY21, Centum expects to receive KES 2.2 billion from the sale of land and KES 0.5 billion from residential units. This should boost earnings. Going forward, the sale of the remaining units under construction (23%) and the pipeline of approved projects should drive income growth.
- **Dividend policy:** Centum's dividend policy is to pay out the higher of 30% of the cash annuity income (regular portion of income) and the previous year's dividend pay out. Therefore, we expect the company to pay dividends even in this challenging economic environment. Cash raised from previous exits should help the Centum maintain this policy.

Key investment risks:

- **Reduced profitability:** The private equity portfolio has been the main source of these returns while returns on the real estate portfolio have been low (even negative in certain years), due to low sales income, high finance costs and a loss in the joint venture (the Mall).
- **Increased exposure to the Real estate sector:** Centum's investment portfolio has become more tilted towards the Real estate sector. The current slowdown in the sector is likely to negatively affect the group's performance.
- **COVID-19:** A number of portfolio companies are likely to be greatly affected by the measures taken by governments to curb the spread of the COVID-19 pandemic. We expect dividend income from portfolio companies to decline.
- **Reduced economic activity:** Lower economic activity is likely to affect Centum's portfolios companies and the Real estate portfolio.
- **Lower rental income:** During the COVID period, Centum lowered the rent for its retail clients in order to help them cope with the current pandemic. The downward revision of rents is likely to lower income and reduce the carrying value of the Two Rivers Mall.
- **Dividend income:** Poor performance of portfolio companies is likely to reduce dividend income

IMPACT OF COVID-19

The measures taken by governments to curb the spread of the COVID-19 pandemic are likely to affect Centum's businesses differently.

Table 2: Impact of COVID-19

Company	COVID Impact
NAS Servair	**NEGATIVE** NAS is mainly dependent on revenue from the airline industry which is likely to be affected. The catering service business is also likely to record a decline in revenue. The impact is likely to last longer than 2021 as the business is expected to take a considerably long period of time to recover.
Isuzu East Africa	**NEGATIVE** Demand for vehicles has decreased thus the company is expected to record a decline in revenue.
Africa Crest Education	**POSITIVE** Revenue has not been affected as students have been able to continue with online learning. The ability to reduce operating costs is likely to improve the profitability of this business.
Real Estate portfolio	**NEGATIVE** Demand for office and retail space is likely to reduce in the current environment. Rental income is also likely to be affected by the downward revision of rents in the Mall. It is, however, encouraging that the occupancy rate at the mall remains unchanged at 80%. **POSITIVE** Centum is on track to receive to receive KES 2.2 billion from the sale of land and KES 0.5 billion from residential units. Most of these sales began in the previous financial year but were not booked as the transactions were concluded this year. There has been a minimal impact on revenue from the sale of property as Centum has been able to achieve 89% of pre-COVID sale and collections. Moving forward, the performance of the portfolio is unlikely to be affected as all products under development are significantly pre-sold. Project financing is also available to bridge any slow collection.
Nabo Capital Limited	**NEUTRAL** Although portfolio returns are expected to decline, the overall business is unlikely to be affected by the pandemic
Sidian Bank	**NEGATIVE** The banking sector as a whole has been affected by an increase in non-performing loans. We expect Sidian Bank's profitability to decline as provisions increase.
Greenblade Growers Limited	**NEUTRAL** According to management, the business has been able to increase its export earnings in spite of the lockdowns.
Longhorn Publishers Limited	**NEGATIVE** Sales revenue has declined due to a reduction in the volume of books sold. The business has been unable to take advantage of online platforms that may have helped diversify it revenues.

Overall the business remains solid and a strong recovery is likely to be recorded the following year.

DIVERSIFIED PORTFOLIO

Centum's exposure to various sectors helps reduce idiosyncratic risk. The various businesses are currently at different stages in the investment phase thus return could come in the form of increased valuations, dividend income, or proceeds from sale.

- **Strong track record of value creation and realization:** Over the past few years, Centum has exited a number of its businesses at relatively attractive multiples. The recent exits have increased the company's cash position.

Table 2: Exits

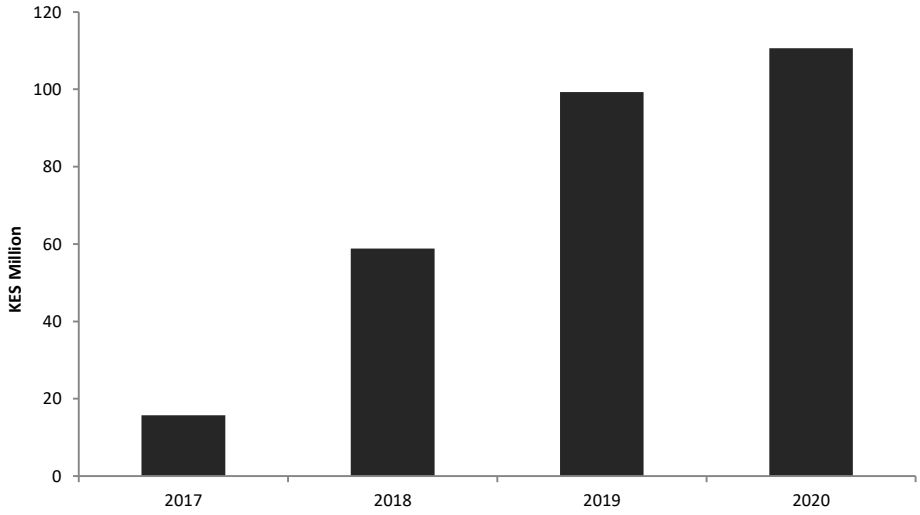
Company	Industry	% of company acquired	Cost of investment (Kes bn)	Holding period (months)	Total realized proceeds (Kes bn)	Dividend Yield on Exit Proceeds % p.a	Exit Multiple on Cost (MOC)	Gross KES IRR (%)
KWAL	Consumer	26.4%	0.3	96	1.1	0.5%	3.7x	20.8%
Rift Valley Railways	Transport	10.0%	0.06	14	0.08	0.0%	1.3x	4.4%
Carbacid Limited	Manufacturing	22.8%	0.4	23	1.2	0.0%	3.0x	66.9%
Platinum Credit Limited	Financial services	36.0%	0.8	63	3.2	2.8%	3.4x	38.9%
UAP	Insurance	24.2%	0.9	69	5.8	0.9%	6.1x	39.9%
AON	Insurance	21.5%	0.2	85	1.5	7.1%	5.0x	52.4%
Gen Africa	Asset Manangement	73.4%	1.1	53	2.1	3.8%	2.2x	24.4%
Almasi Beverages Limited	Consumer	53.9%	1.8	126	11.8	0.8%	6.1x	25.9%
Nairobi Bottlers	Consumer	27.6%	0.7	126	10	1.5%	12.3x	34.3%
Total Realization			**6.3**		**37.4**	**1.90%**	**5.4x**	**25.8%**

Source: AIB-AXYS Research, Company Fillings

The company is now likely to focus on Fund II as it builds it private equity portfolio. Given the current developments in the market, this is an ideal time for Centum to build its private equity portfolio. Therefore, we expect Centum to acquire companies at relatively attractive valuation. This is likely to result in attractive exit multiples.

- **Opportunity for growth in the Agribusiness sector:** In 2017, the company began investing in Agribusiness through Greenblade Growers. The business focuses on growing herbs and vegetables for exports to European markets. The introduction of an out grower model to include small scale farmers increased capacity while the construction of a 58,000 cubic meter capacity water reservoir reduced reliance on rain fed agriculture.
  In 1H21, revenue increased despite the COVID-19 restrictions. Going forward Greenblade Growers could increase its revenue by exploring new markets in Asia and North America. An increase in revenue coupled with improved efficiency is likely to increase the companies profitability.

Graph 2: Growth in Agribusiness.



Source: AIB-AXYS Research, Company Fillings

- **Disappointments in the energy business:** The energy sector has proven to be a challenge for Centum as Amu Power has had regulatory challenges, forcing Centum to write-off the investment, while Akiira Geothermal has faced disappointments in its search for energy. There may be some light at the end of the tunnel as Centum has partnered with KenGen in its exploration efforts. If successful, the investment might not be a total loss and investors might see an increase in value, albeit minimal as the profitability of energy has reduced due to the oversupply in the sector.

- **Increased exposure to the property sector:** Centum has historically had a rich portfolio with a focus on the Real Estate, Private equity, Development, and Marketable securities segment. The sale of a number of its business and revaluation gains in its property portfolio has reduced the size of the private equity portfolio relative to that of the real estate portfolio.

Chart 1: Portfolio Composition (2018)

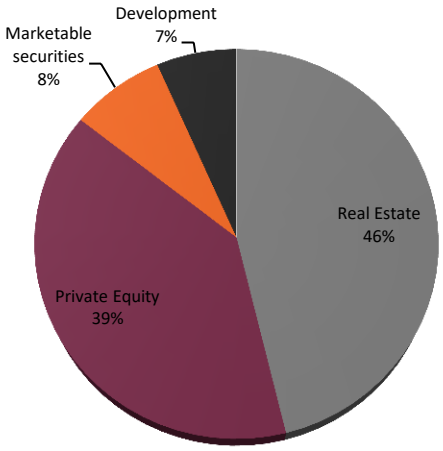
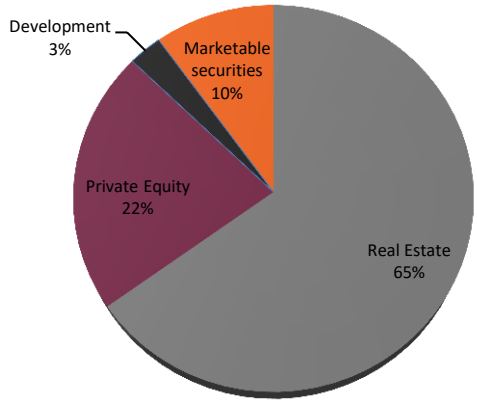


Chart 2: Portfolio Composition (2020)



Source: AIB-AXYS Research, Company Fillings

The change in the composition of the portfolio means that Centum's revenue is now more dependent on the real estate sector at a time when the sector's growth is likely to decline.

We therefore expect the following:

- **An increase in revenue from the sale of property**: Value from the real estate portfolio is likely to be realized as the company sells property. This is expected to improve the company's cash position.

- **Revaluation losses/impairment charges:** Centum has historically booked revaluation gains as the value of its properties rose rapidly. Reduced demand for office and retail space coupled with the slowdown in the real estate sector is likely to decrease the carrying value of Centum's real estate portfolio. However, efforts by Centum to increase value by developing its land and improving infrastructure (roads, water & sewerage systems) could bolster the property values. The groups policies such as market validation and pre-sale of residential units could also buoy valuations and ensure that appropriate products are developed in the right areas.

- **Lower dividend income:** Following the exits from a number of its profitable companies, dividend income is likely to decline. This may be replaced with income from property sales.

- **Decline in group's revenues:** The sale of goods and services has been the main source of the group's revenue. In FY20, Centum exited Almasi Beverages, Nairobi Bottlers and King Beverages. The impact of this is likely to be an overall decline in group's revenue. However, income from the sale of properties may substitute some of this lost income.

We expect revenue contribution to change as shown below:

Chart 3: Sources of Revenue 2019

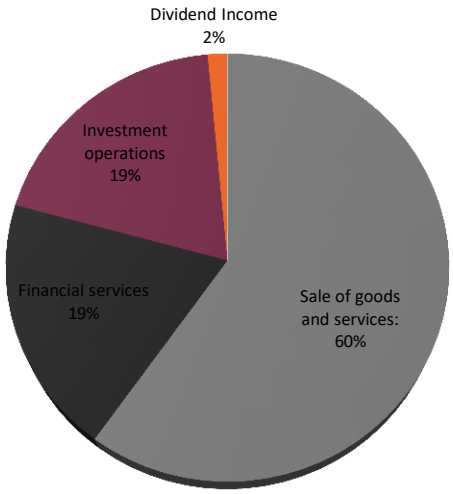
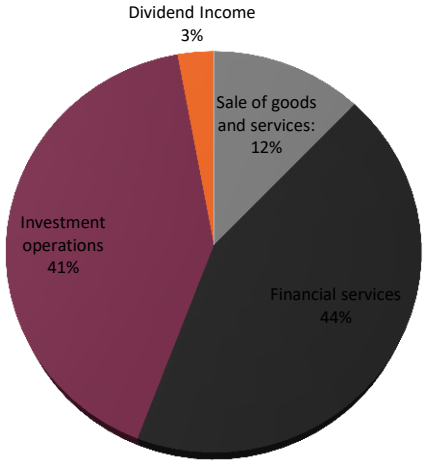


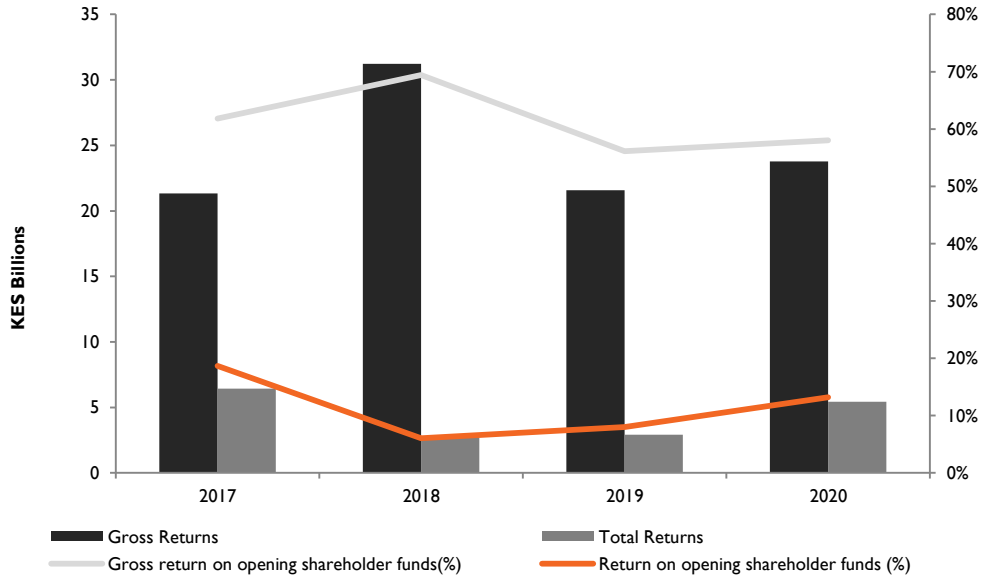
Chart 4: Sources of Revenue 2021E



Source: AIB-AXYS Research, Company Fillings

- **Reduced profitability:** The group's profitability can be measured in terms of its gross and total returns. Gross portfolio return can be interpreted as revenue as it represents the overall increase in net assets from the investment portfolio while total return is the total value created in the period which includes cash value as well as unrealised movements in the portfolio. The private equity portfolio has been the main source of these returns while returns on the real estate portfolio have been low (even negative in certain years), due to low sales income, high finance costs and a loss in the joint venture (the Mall). However, profitability of the real estate portfolio may increase as the company monetizes its property portfolio.

Graph 3: Profitability

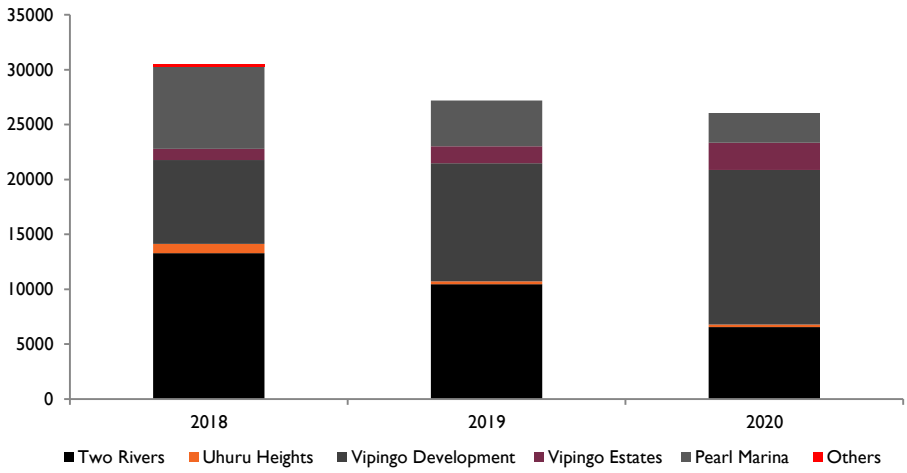


The reduced size of the private equity portfolio following the sale of a number of group companies is therefore expected to reduce Centum's profitability.

REAL ESTATE SECTOR

Real estate now makes up 65% of the company's portfolio. The Real estate sector's increased prominence is mainly due to a decrease in the private equity portfolio as a result of the recent exits. Over the past 3 years, the value of the real estate portfolio has decreased due to revaluations and impairments on Two Rivers and Pearl Marina while revaluation gains on Vipingo has helped maintained the portfolio's value.

Graph 4: Real estate



Source: AIB-AXYS Research, Company Fillings

- **Real estate portfolio likely to be a key source of revenue:** In the current strategy (Centum 4.0), management seeks to monetize its property portfolio.

Over the next four years, management expects returns from the property portfolio to come from:

i. **Proceeds from the sale of infill developments is currently at KES 9.37 billion**: There are currently 1,450 units under construction, of which 1,112 (77%) have been pre sold. High up-take was recorded in Pearl Marina and Vipingo but only 40% of the units in Two Rivers and the 3rd party JV have been taken up. We expect the remaining units to be sold at a relatively lower price on the back of reduced demand in the current environment.

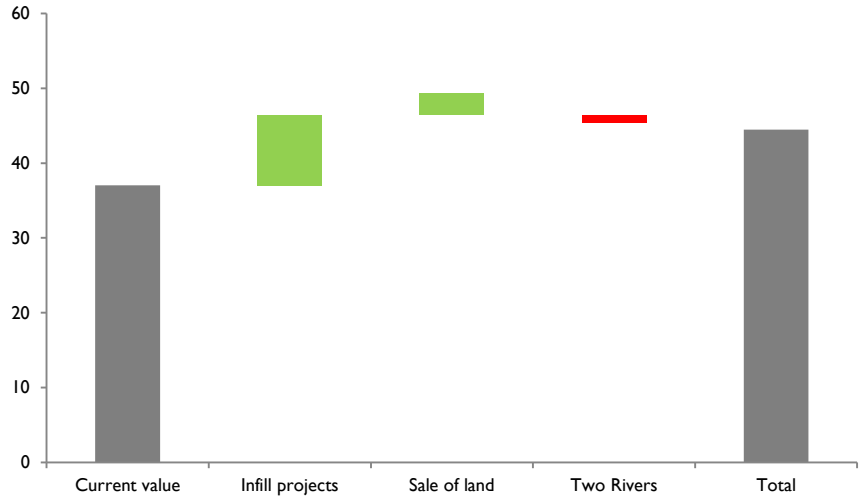
ii. **Proceeds from the sale of bulk land and development rights is estimated at KES 2.8 billion**: We are of the view that this value might not be realized due to the slowdown in the Real estate sector.

iii. **Management of rental assets such as Two Rivers Mall and Theme Park is likely to lead to a 3% growth in Mall letting and 6% on office letting:** We believe that this is ambitious and is unlikely to be achieved. In the past Centum has had to reduce rents in order to either attract or retain tenants. In the office space, tenants are likely to increase, albeit at a slow pace, but rent per square foot is likely to decrease.

iv. **Third party development sites for affordable housing on a joint venture basis**: Centum has a JV agreement for development of a phased 965 unit scheme of which 26 units have been sold. The success of this initiative will be highly dependent on the 'affordability' of these houses.

In FY21, return in the Real estate portfolio is expected to come from infill projects and the sale of land but some value may be lost in Two Rivers as the group books an impairment charge.

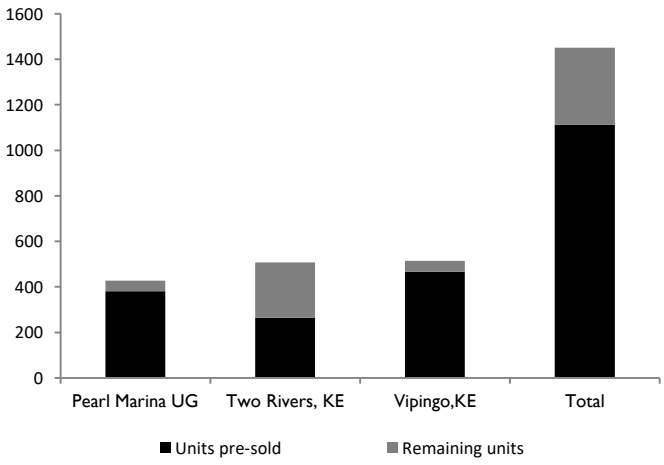
Graph 5: 2021 Return drivers



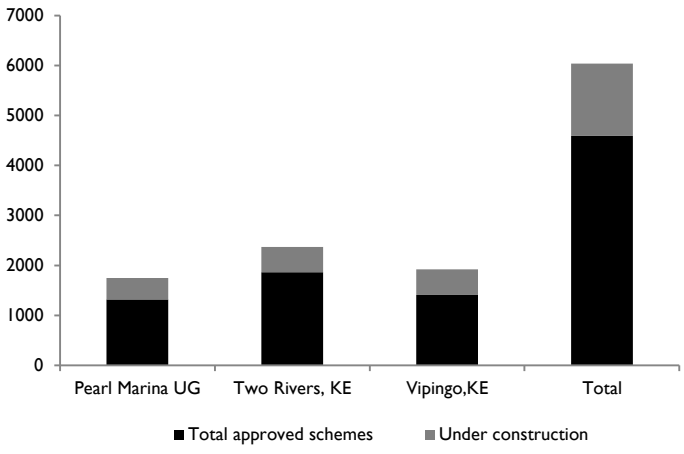
Source: AIB-AXYS Research, Company Fillings

➢ **Huge revenue potential from ongoing and upcoming projects:** One of Centum's strong suits is its sales record as its sales team has sold 77% of the units under construction. The company's policy of validating the market and ensuring a significant number of units are pre-sold before a project begins should help ensure that future developments are profitable.
A lot of value can still be derived from Centum's as construction is yet to begin in 68% of the approved schemes.

Graph 6: Sales



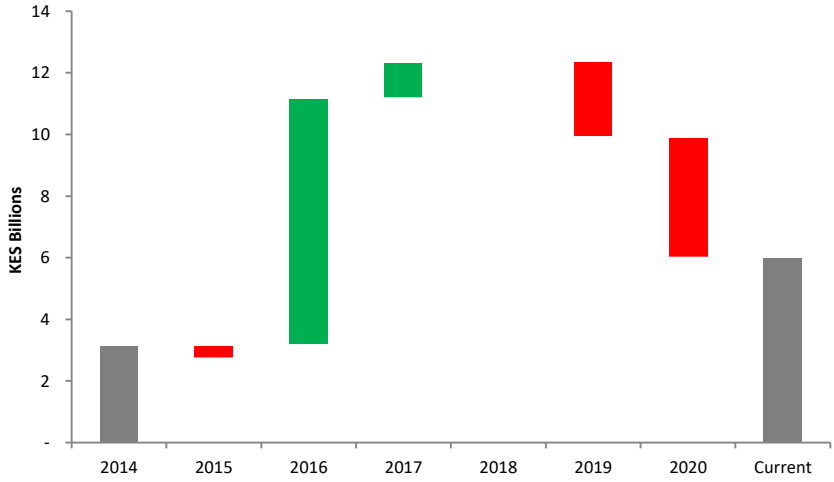
Graph 7: Approved Projects



Source: AIB-AXYS Research, Company Fillings

- **The carrying value of Two Rivers is likely to decline:** Two Rivers development makes up 23% of the property portfolio. The increase in value in 2015, 2016, and 2017 can be attributed to revaluation gains. However, in 2019 and 2020, the development lost value as rental income reduced.

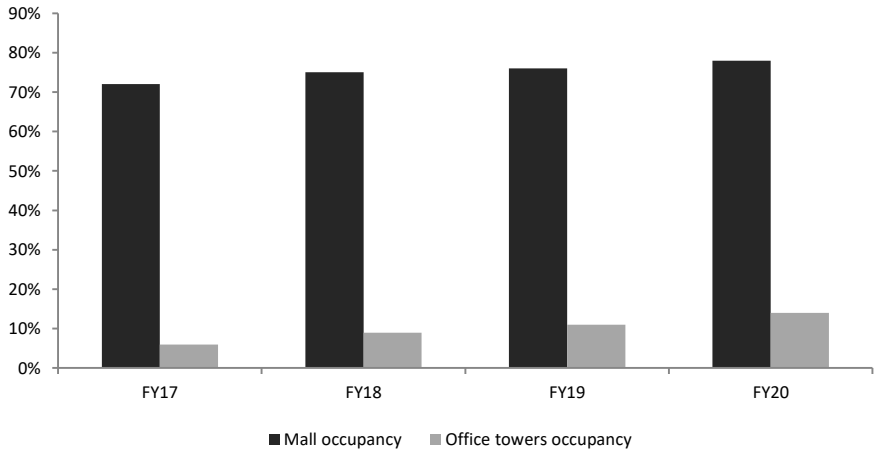
Graph 8: Two Rivers Development Value



In the first half of FY21, rents at Two Rivers mall were revised downwards as management sought to support tenants during the pandemic. We expect the lower rates to remain in place for most of FY21. As a result of the lower rents, Centum is likely to record an impairment loss.

The occupancy rate at the mall is likely to remain close to the current level of 78% as the lower rent is likely to assist the tenants weather this storm. Meanwhile demand for space at the office tower increased in H1 of FY21. This should lead to an increase in occupancy rates at the office tower.

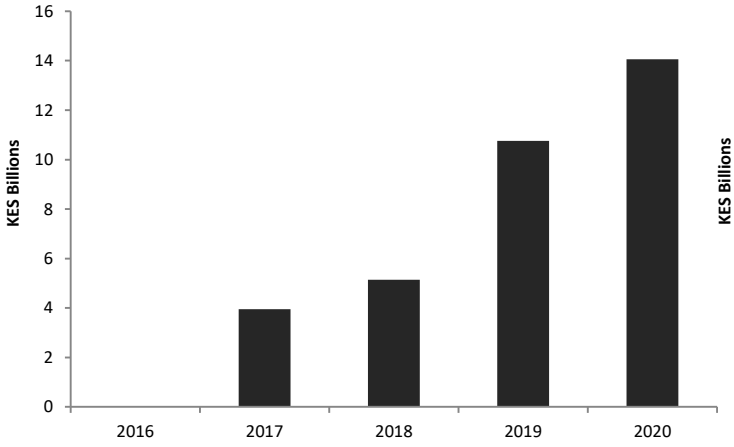
Graph 9: Occupancy on Gross Lettable Area



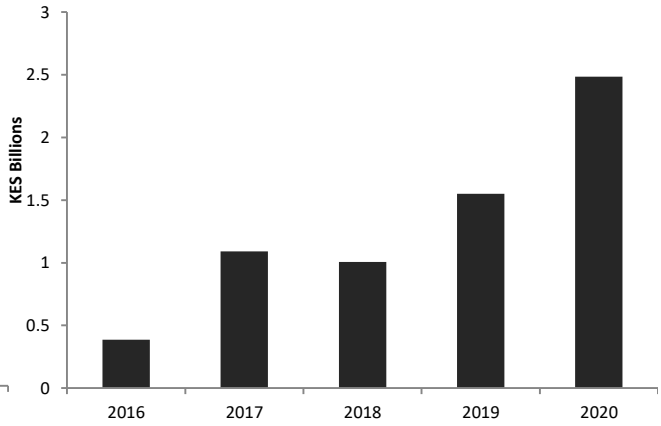
Source: AIB-AXYS Research, Company Fillings

➢ **Reduced upside on Vipingo:** Vipingo development and Vipingo estates make up 64% of the Real estate portfolio. The increase in value has been driven by revaluation gains based on the recent sales. We do not expect further revaluation gains as property values are likely to be depressed by current slowdown in the Real estate sector.

Graph 10: Vipingo Development



Graph 11: Vipingo Estates



Source: AIB-AXYS Research, Company Fillings

The development of Vipingo is currently in its first phase which focuses on the construction of a commercial centre, development of an industrial park, and the sale of plots.
In this phase, value is likely to be driven by sale of the residential units. The industrial park is currently under development but it is likely to take some time before value can be realized.

In 2021, we see a decline in the value of Vipingo on the back of a slowdown in the Real estate sector.

In relation to other properties on Centum's portfolio, Vipingo has the lowest carrying value mainly because of its location and infrastructure needs.

Development	Shareholding	Acres	Carrying Value per acre (KES M)	Last Transaction price per acre (KES M)
Vipingo	100%	10254	1.85	15.0 (for<10 acres) 1.85 (for >1000 acres)
Pearl Marina	100%	389	24.74	29.56
Two Rivers	58%	102	250	432.69
Uhuru Heights	100%	4.4	153	n/a

VALUATION

We valued the company using net asset value (NAV) and obtained value of KES 38.95.

Most of the value comes from the real estate and the private equity portfolio.

Graph 12: Value



Source: AIB-AXYS Research, Company Fillings

Table 1: Net Asset Value

	Effective stake			Fair Value FY20	Our valuation	
1.0 REAL ESTATE						
Two Rivers Development	58.30%	Haircut: 30%		5,983	4,188	Value is likely to be negatively affected by the slowdown in the real estate sector
Rasimu (owns 3.65% of TRDL)	100.00%	Haircut: 30%		573	401	Value is likely to be negatively affected by the slowdown in the real estate sector
Uhuru Heights (owns 1.05% of TRDL)	100.00%	Haircut: 20%		239	191	Value is likely to be negatively affected by the slowdown in the real estate sector
Vipingo	100.00%	Haircut: 40%		16,545	9,927	Land is valued at a reasonable price of KES 1.85 million per acres. The value is expected to rise as developments on the property continue. We, however, adopt a conservative view and assume that value reduces to 1.1 million per acre.
Pearl Marina (Centum Devt. Ltd)	100.00%	Haircut:30%		2,701	1,891	Value is likely to be negatively affected by the slowdown in the real estate sector
Total				**26,041**	**16,598**	
2.0 CASH AND MARKETABLE SECURITIES						
Receivables	100.00%			628	691	
Cash	100.00%			**2,911**	**3,819**	
Total				**3,539**	**4,510**	
3.0 PRIVATE EQUITY						
3.1 Financial Services		Book Value FY19				
Bakki Holdings (Sidian Bank)	77.00%		3,835	2,538	2,044	We discount it at a P/B of 0.63 and apply a 10% control premium
Nabo Capital	100.00%			447	447	
Zohari Leasing	100.00%			230	230	
Others				70	70	
Total				**3,285**	**2,791**	
3.2 Others						
Longhorn	60.20%			869	848.62	Valued at market price and we apply a 15% control premium
NAS Servair	15.00%	Haircut: 10%		633	570	We discount it to reflect the downturn in the industry
Isuzu East Africa Ltd	17.80%			2,563	2,563	
Total				**4,065**	**3,981**	
3.3 Education						
ACE Holdings	16.40%			931	931	
3.4 Agribusiness						
Greenblade Growers	100.00%			43	43	
4.0 TOTAL				37,905	28,855	

Carry Value	**28,855**
Less: Borrowings	**-737**
Less: Other Liabilities	**-2,157**
Net Asset Value	**25,961**
NAV Per share	**38.95**

Table 2: Financial Statements

Consolidated Statement of Profit & Loss	2018	2019	2020	2021F	2022F	2023F
Trading business						
Sales	10,171,132	10,864,087	5,866,052	1,237,362	1,474,304	2,046,423
Cost of sales	(6,586,459)	(6,861,496)	(3,838,946)	(853,780)	(914,068)	(1,268,783)
Gross profit	3,584,673	4,002,591	2,027,106	383,582	560,235	777,641
Operating and administraton expenses	(2,515,764)	(2,885,221)	(1,631,681)	(309,340)	(368,576)	(511,606)
Trading Profit	1,068,909	1,117,370	395,425	74,242	191,659	266,035
Financial Services						
Income from provision of financial services	2,844,698	3,502,548	3,796,050	2,849,055	2,835,749	2,820,353
Interest expenses	(812,481)	(962,351)	(1,158,748)	(481,176)	(433,058)	(433,058)
Net impairment of loans and advances	(449,171)	(736,469)	(392,219)	(957,410)	(509,885)	(662,850)
Operating and admin expenses	(2,123,637)	(2,264,965)	(2,074,153)	(2,683,077)	(2,249,659)	(2,467,960)
Operating (loss) Profit from financial services	(540,591)	(461,237)	170,930	(1,272,607)	(356,852)	(743,516)
Investment Operations						
Investment income	5,569,458	9,549,277	14,995,461	10,261,258	8,229,404	8,922,178
Project and development mgt fees	143,382	303,329	301,451	301,451	301,451	301,451
Operating and admin expenses & provision	(2,028,205)	(2,128,453)	(5,216,336)	(5,064,418)	(2,469,766)	(2,580,872)
Finance costs	(1,761,201)	(2,517,605)	(3,223,240)	(3,384,402)	(3,553,622)	(3,731,303)
Share of profits of associates	236,978	279,000	100,305	384,832	384,832	384,832
Share of profits of joint ventures after	457,920	(1,702,835)	(2,077,884)	(1,702,835)	457,920	457,920
Operating (loss) Profit from Investment Operations	2,618,332	3,782,713	4,879,757	795,887	3,350,219	3,754,206
Profits before tax	**3,146,650**	**4,438,846**	**5,446,112**	**(402,479)**	**3,185,026**	**3,276,725**
Income tax expenses	(490,353)	(318,600)	(817,796)	120,743.58	(955,508)	(983,018)
Profit from Continuing operations	**2,656,297**	**4,120,246**	**4,628,316**	**(281,735)**	**2,229,518**	**2,293,708**
Profit from discontinued operations, net of tax	135,600	-	-	-	-	-
Profits for the year	**2,791,897**	**4,120,246**	**4,628,316**	**(281,735)**	**2,229,518**	**2,293,708**

Balance Sheet	2018	2019	2020	2021F	2022F	2023F
Assets						
Property, plant and equipment	9,665,461	11,067,734	4,098,815	4,508,697	5,004,653	6,005,584
Investment properties	32,718,667	40,033,745	41,181,081	40,357,459	38,339,586	39,489,774
Goodwill	2,561,522	1,768,281	361,335	368,562	375,933	383,452
Intangible assets- software	685,257	726,765	1,007,680	1,027,834	1,048,390	1,069,358
Deferred income tax assets	460,088	757,499	866,304	883,630	901,303	919,329
-Investment in associates	2,745,989	2,920,670	1,449,966	1,275,970	1,352,528	1,379,579
-Investment in joint ventures	9,797,800	7,065,230	2,889,797	2,311,838	2,034,417	2,075,105
-Unquoted investments	4,362,975	4,146,239	4,550,450	4,004,396	4,244,660	4,329,553
-Quoted investments	1,738,828	1,561,164	398,174	318,539	337,652	344,405
Loans and advances	11,772,121	13,188,526	14,961,431	15,559,888	16,493,482	18,637,634
Inventories	1,692,476	1,766,231	624,880	261,982	280,481	389,325
Receivables and prepayments	5,877,286	6,921,565	7,466,708	8,213,379	9,034,717	9,938,188
Cash and cash equvalents	5,819,819	5,393,271	8,182,331	9,818,797	10,800,677	12,096,758
Other Assets	6,389,801	4,446,733	13,824,652	13,962,899	19,548,058	27,367,281
Total assets	**96,288,090**	**101,763,653**	**101,863,604**	**102,873,869**	**109,796,536**	**124,425,325**
Capital and reserves						
Share capital	332,721	322,721	332,721	332,721	332,721	332,721
Share premium	589,753	589,753	589,753	589,753	589,753	589,753
Other reserves	2,389,857	1,182,443	1,900,292	1,900,292	1,900,292	1,900,292
Retained earnings	34,358,987	38,184,443	43,723,323	42,643,058	44,074,046	45,569,224
Proposed dividends	798,530	-	798,530	798,530	798,530	798,530
Total equity attributable to equity holders of the company	**38,469,848**	**40,289,360**	**47,344,619**	**46,264,354**	**47,695,342**	**49,190,520**
Non-controlling interests	12,427,316	11,286,455	5,278,030	5,089,079	5,246,488	5,410,957
TOTAL EQUITY	**50,897,164**	**51,575,815**	**52,622,649**	**51,353,433**	**52,941,830**	**54,601,477**
LIABILITIES						
Customer deposits	12,832,395	14,816,684	17,460,420	17,547,722	17,898,677	19,509,557
Borrowings	24,463,568	2,467,698	4,106,689	4,188,823	4,607,705	5,529,246
Payables and accruals	4,999,634	5,300,863	3,495,884	3,705,637	3,594,468	3,953,915
Other Liabilities	61,818,670	43,139,715	39,383,108	26,078,254	30,753,857	40,831,129
TOTAL LIABILITIES	**45,390,920**	**50,187,838**	**49,240,955**	**51,520,436**	**56,854,706**	**69,823,848**

Source: AIB-AXYS Research, Company Fillings

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